UNIT 3

ACCOUNTS OF PARTNERSHIP FIRMS– FUNDAMENTALS

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Points to recall

The following points are to be recalled before learning the accounts of partnership firms–fundamentals:

- Forms of organisation
- Accounting cycle

Learning objectives

To enable the students to

- Understand the meaning and features of partnership
- Understand fixed and fluctuating capital methods of maintaining capital accounts of partners
- Understand the calculation and accounting treatment of interest on capital, interest on drawings, remuneration to partners and interest on loan from partners
- Understand the division of profits among partners

Key terms to know

- Partner
- Partnership firm
- Partnership deed
- Fixed capital
- Fluctuating capital
- Interest on capital
- Interest on drawings
- Profit and loss appropriation account

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